Contract Risk & Compliance Analysis Report

Contract Clause

The Supplier shall indemnify and hold harmless the Customer against all claims, damages, liabilities, losses, costs and expenses arising out of or in connection with this Agreement, without any limitation of liability or monetary cap.

LegalBERT Risk Signal

Prediction: **High**

Confidence: 99.90%

Class Scores

Baseline: 0.01%

Low: 0.07%

Medium: 0.02%

High: 99.90%

Retrieved Indian Law

Section 222

Agent to be indemnified against consequences of lawful acts

Similarity Score: 0.5716

Section 224

Non-liability of employer of agent to do a criminal act

Similarity Score: 0.5566

Section 223

Agent to be indemnified against consequences of acts done in good faith

Similarity Score: 0.5488

Section 124

“Contract of indemnity” defined

Similarity Score: 0.5332

Section 42

Devolution of joint liabilities

Similarity Score: 0.5251

Grounded Local LLM Analysis

Assessed Risk: **High**

Agreement with ML: YES

Evidence Sufficient: YES

Human Review Required: YES

Summary

The clause imposes a broad indemnity obligation on the Supplier, which is considered high risk.

Risk Reasoning

The clause requires the Supplier to indemnify and hold harmless the Customer against all claims, damages, liabilities, losses, costs, and expenses arising out of or in connection with this Agreement. This includes any claim that may arise from the Supplier's actions or omissions, which is a broad and potentially unlimited liability.

Contractual Concern

Indemnity Obligation

Suggested Mitigation

The Supplier should carefully review the indemnity clause and consider limiting its scope or providing additional protections to mitigate potential risks.

Disclaimer

This report is generated automatically using a hybrid AI pipeline combining LegalBERT, Retrieval-Augmented Generation (RAG), and a local Large Language Model. It is intended for decision support only and does not constitute legal advice.